

POLICY NUMBER: FP-OPSFIN-132

[Policy Statement](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[A. Definitions](#)

[B. Authorizations](#)

[C. Accounting Guidelines](#)

[Definitions](#)

Entertainment, Promotional, & Duty Meals

This policy provides guidelines for controls surrounding non-revenue generating F&B for a variety of reasons (sales promotion, duty meals, etc.).

POLICY STATEMENT

This policy details the treatment of various types of non-revenue generating F&B as a result of entertainment, promotions, and/or internal meals to include the processing, approval, and recording of these costs.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. DEFINITIONS

The definitions of in-house non-revenue generating F&B are as follows:

- 1) Duty Meals – This is a meal taken in a F&B outlet by an approved member of the Management Team. This may be a replacement meal for those normally taken in the Team Member cafeteria/restaurant due to working outside of cafeteria hours or an added benefit to Management as defined by the Operations Leader.
- 2) Entertainment / Promotional F&B Charges – These are any other F&B transactions incurred at an outlet, which are not Duty Meals.

B. AUTHORIZATIONS

- 1) Only Management level Team Members are eligible to sign for a duty meal or an entertainment / promotional F&B charge.
- 2) Each hotel is required to identify and list Team Members that are authorized to sign for a duty meal or entertainment / promotional F&B charge. This list is required to be approved by both the Operations Leader and Finance Leader.
- 3) Hotels must have an internal process in place to ensure only authorized Team Members have signed for these types of charges.

C. ACCOUNTING GUIDELINES

- 1) All duty meals and entertainment / promotional F&B charges must be posted in the POS.
- 2) All duty meals and entertainment / promotional F&B charges must be signed by an authorized Team Member, with a brief explanation of the reason for the charge. For entertainment / promotional F&B charges, additional explanations should include persons entertained, business affiliation / company, purpose of entertainment, and department doing the entertaining.
- 3) The relevant department must be charged for the cost of these duty meals and entertainment / promotional F&B charges and an F&B credit recorded. Revenue must not be recorded.
- 4) Based on local regulations, all applicable taxes must be charged and those which are not reclaimable must be included in the departmental expense.
- 5) Based on local customs or regulations, any gratuities charged must also be included in the departmental expense.
- 6) Breakfast provided as part of the Hilton Honors Program must be coded to Rooms Departmental Expense. Any taxes and gratuities which must be charged, based on local regulations and which are not reclaimable are to be included in the departmental expense.

- 7) Finance is required to obtain a system generated report of all duty meals and entertainment / promotional F&B charges and reconcile to the F&B check to ensure that they are appropriate and have been signed by an authorized Team Member.
- 8) The Income Auditor (or equivalent) must distribute all duty meal checks or a summary of duty meals and entertainment / promotional F&B charges for approval, within two weeks, to the Operations Leader and the Finance Leader, at a minimum. The approved documentation must be retained.

DEFINITIONS	
TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager).